Improving cross-border payments in a changing geopolitical landscape

By Christina Papaconstantinou

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payments in a changing geopolitical landscape", at the 10th Conference of Mediterranean Central Banks, organised by the Bank of Spain, Roda de Berà, 2 October 2026.

Improving cross-border payments often involves a combination of upgrading existing infrastructures and embracing new technologies. How should central banks strike the right balance between preserving proven arrangements and pursuing innovation? Are these two approaches always complementary, or do difficult trade-offs emerge in practice?

The choice of central banks between improving existing frameworks and developing new infrastructures should be guided by the specific needs of users, the nature of the inefficiencies identified and the expected benefits of each solution, taking also into account resource constraints.

In some cases, leveraging existing arrangements can lead to meaningful gains while avoiding the costs and risks associated with creating entirely new ones. TIPS development is a notable example demonstrating how targeted reforms of existing infrastructures can deliver significant improvements and benefits to cross-border payment services.

In other cases, legacy systems may reach their limits in what can realistically be achieved through incremental improvements. Thus, new solutions may be necessary to address the limitations of existing arrangements, potentially facilitated by technological advancements.

Moreover, active participation helps central banks ensure that objectives such as financial stability, monetary sovereignty, competition, inclusion and security are appropriately reflected in emerging infrastructures.

It is important that central banks balance the need to maintain a technology-neutral approach and explore alternative solutions against the need to stay focused on measures that improve efficiency. This means investing in interoperability, common standards, cross-border cooperation and infrastructures that can accommodate various technological

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From a Eurosystem perspective, the objective is to pursue innovation in a way that preserves efficiency, resilience, strategic autonomy and the public policy role of central bank money.

In order to meet these objectives, engagement with new technological solutions and initiatives allows the Eurosystem to gain practical experience with emerging technologies and operating models, contribute to the development of international standards and ensure that public policy objectives, notably including financial stability and monetary sovereignty, are adequately reflected in the next generation of payment infrastructures. Such engagement also helps maintain strategic optionality, allowing the Eurosystem to respond effectively as markets evolve and new opportunities arise.

The Eurosystem' s Appia initiative is a good illustration of this approach.

The Appia initiative explores how distributed ledger technology (DLT), tokenisation and central bank money can operate within a future European financial ecosystem. The Eurosystem seeks to identify where new technological solutions can address structural inefficiencies while preserving the key public policy functions currently performed by central bank infrastructures. Therefore, instead of inheriting solutions designed elsewhere, Europe takes the lead and participates actively in shaping them. Moreover, the Appia initiative puts emphasis on interoperability, common standards and integration rather than isolation.

The ultimate goal is to design payment ecosystems that are both highly interconnected and sufficiently resilient to external shocks, geopolitical developments and technological dependencies.

How can forums such as this conference contribute to strengthening international cooperation and trust among central banks as we shape the future global payments landscape?

By providing a neutral space for dialogue and consensus-building among authorities, the role of fora like this one in shaping the future global landscape is threefold: to build trust; to promote common standards; and to ensure that innovation remains anchored in cooperation.

Experience suggests that payment networks become more efficient and resilient when they central banks should continue supporting interoperable solutions that allow payment

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In addition, we have a role to play in fostering trust in innovation. New technologies, including instant payments, tokenisation and potentially central bank digital currencies, offer significant opportunities to improve cross-border transactions. However, innovation can only reach scale if participants have confidence in the underlying legal, operational and governance frameworks. In this regard, international cooperation helps ensure that new technological solutions are developed according to shared principles of security, resilience, efficiency and financial stability.

The progress achieved under the G20 Roadmap, led by the Financial Stability Board and the Committee on Payments and Market Infrastructures (CPMI), demonstrates that meaningful improvements are possible when authorities work together on common priorities such as interoperability, data standards and regulatory alignment. Maintaining that cooperative spirit is particularly important at a time when geopolitical tensions risk creating new frictions and fragmentation.

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Authors

Christina Papaconstantinou
Deputy Governor

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